always the chance that these new developments might not turn out to be as good as we think. There is also the possibility that this stock might sink back to what we consider its real value of 20.

Confronted with this situation, many conservative investors would watch quotations closely. If the stock got near 20 they would buy it eagerly. Otherwise they would leave the shares alone. This happens often enough to be worthy of somewhat closer analysis.

Is there anything sacred about our figure of 20? No, because it admittedly does not take into consideration an important element of future value—the factors we know and most others don't know which we believe will in a few years justify a price of 75. What is really impor-tant here is to find a way that we can buy the stock at a price close to the low point at which it will sell from here on in. Our concern is that if we buy at 32, the stock may subsequently go somewhere around 20. This would not alone cause us a temporary loss. More significant, it would mean that if the stock subsequently went to 75, we would have for our money only about 60 per cent of the shares that we could have gotten if we had waited and bought at 20. Assuming that in twenty years still other new ventures would have given these shares a value not of 75 but of 200, this factor of the total number of shares we could have obtained for our money would prove extremely important.

Fortunately, in a situation of this sort there is another guide-post which may be relied on, even if some of my friends in the insurance and banking worlds seem to regard it as about as safe as trying to walk over water. This is to buy the shares not at a certain price, but at a cer-tain date. From a study of other successful ventures carried through in the past by this same company, we can learn that these ventures were reflected in the stock's price at a particular point in their development. Perhaps it averaged about one month before these ventures reached the pilot-plant stage. Assuming that our company's shares are still selling around 32, why not plan to buy these shares five months from today, which will be just one month before the pilot plant goes on stream? Of course, the shares can still go down after that. However, even if we had bought these shares at 20, there would have been no positive guarantee against a further drop. If we have a fair chance of buying at about as low a price as possible, aren't we accomplishing our objective, even if we feel that on the basis of the publicly known factors the